OVERCONFIDENCE BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Overconfident investors overestimate their ability to evaluate a company as a potential investment. As a result, they can become blind to any negative information that might normally indicate a warning sign that either a stock purchase should not take place or a stock that was already purchased should be sold.
2. Overconfident investors can trade excessively as a result of believing that they possess special knowledge that others don't have. Excessive trading behavior has proven to lead to poor returns over time.
3. Because they either don't know, don't understand, or don't heed historical investment performance statistics, overconfident investors can underestimate their downside risks. As a result, they can unexpectedly suffer poor portfolio performance.
4. Overconfident investors hold underdiversified portfolios, thereby taking on more risk without a commensurate change in risk tolerance. Often, overconfident investors don't even know that they are accepting more risk than they would normally tolerate.

Overconfident investors overestimate the probability that their personal assessments of a security's value are more accurate than the assessments offered by others. Disproportionate confidence in one's own valuations leads to differences of opinion, which influences trading. Rational investors only trade and purchase information when doing so increases their expected utility. Overconfident investors decrease their expected utilities by trading too much; they hold unrealistic beliefs about how high their returns will be and how precisely these returns can be estimated; and, they expend too many resources obtaining investment information (see Figure 18.1).

Odean and Barber noted that overconfident investors overestimate the precision of their information and thereby the expected gains of trading. They may even trade when the true expected net gains are negative. Models of investor overconfidence predict that because men are more overconfident than women, men will trade more and perform worse than women. Both men and women in Barber and Odean's study would have done better, on average, if they had maintained their start-of-the-year portfolios for the entire year.